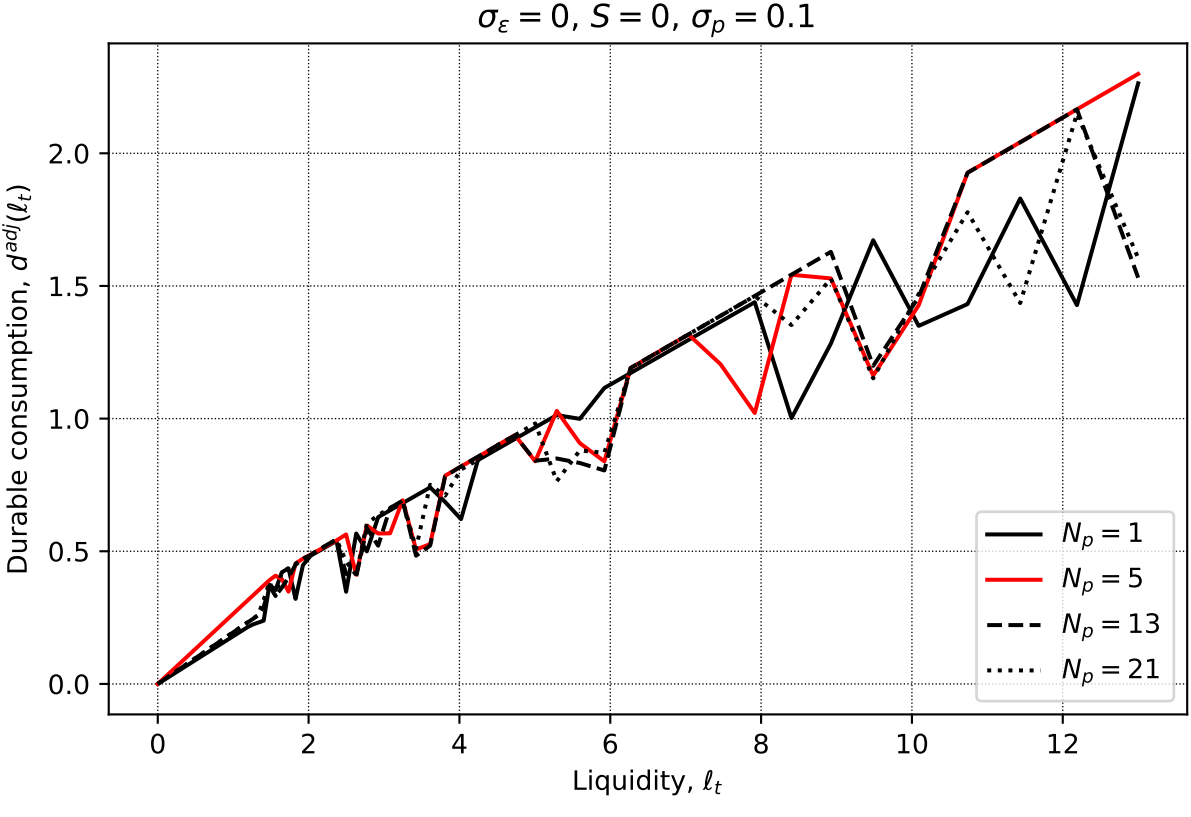
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p = 0.1$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
0
2
4
6
8
10
12
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$